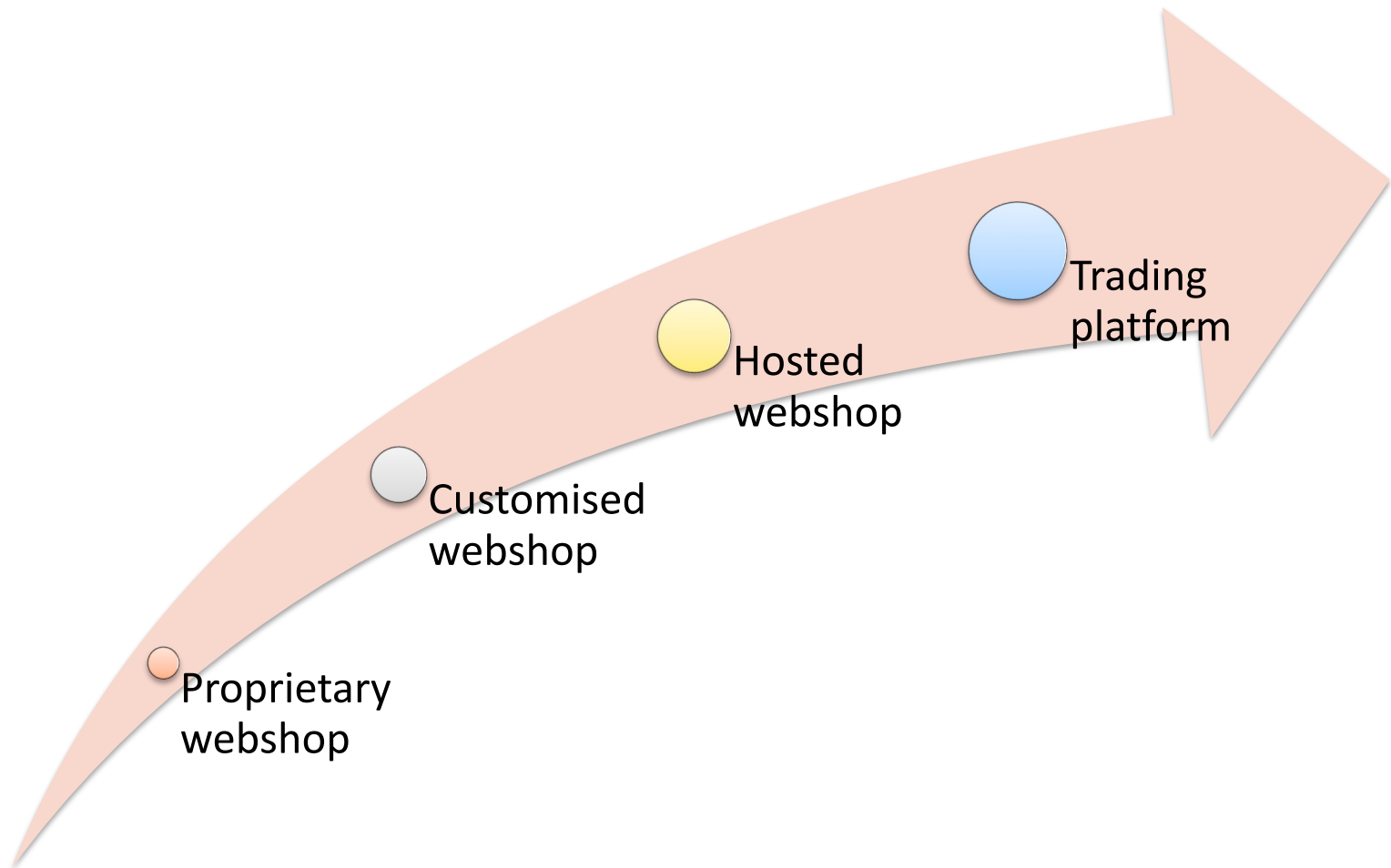




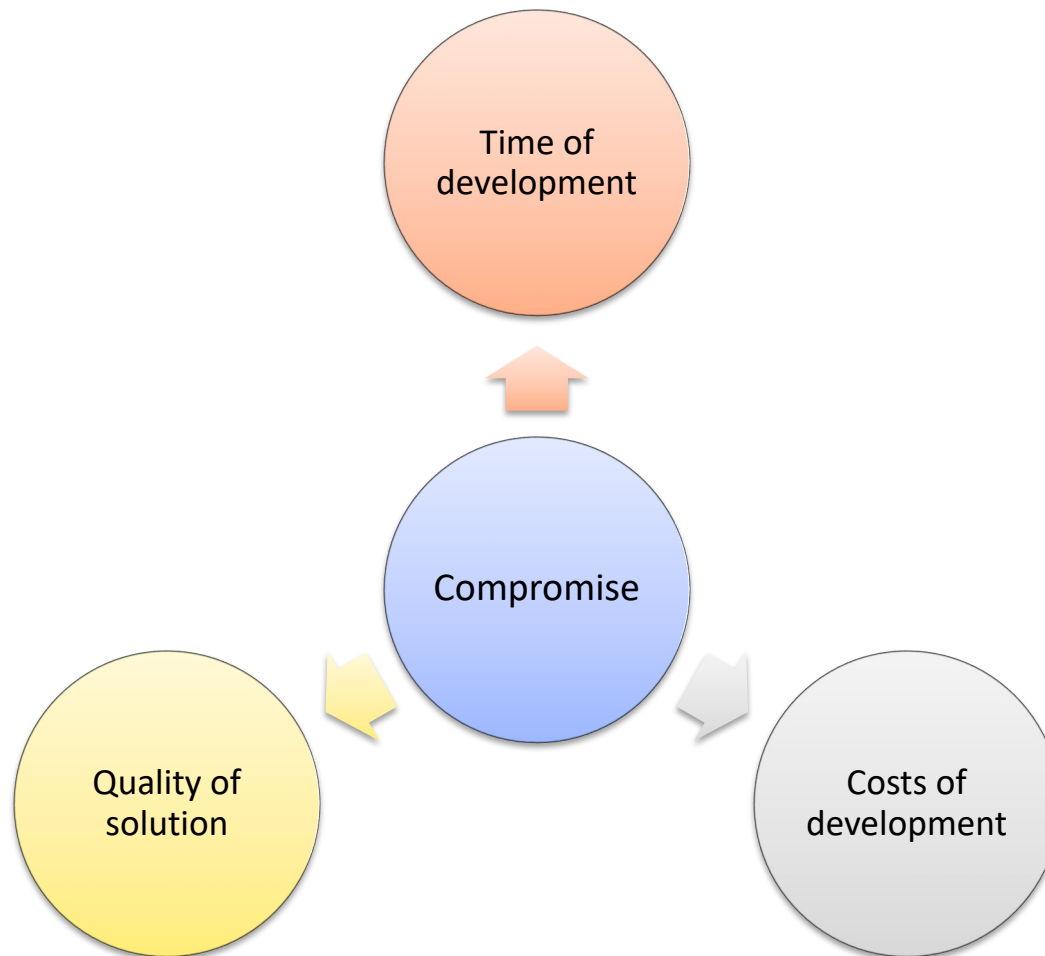
WIESŁAW PIETRUSZKIEWICZ

WEB-BASED TRADING

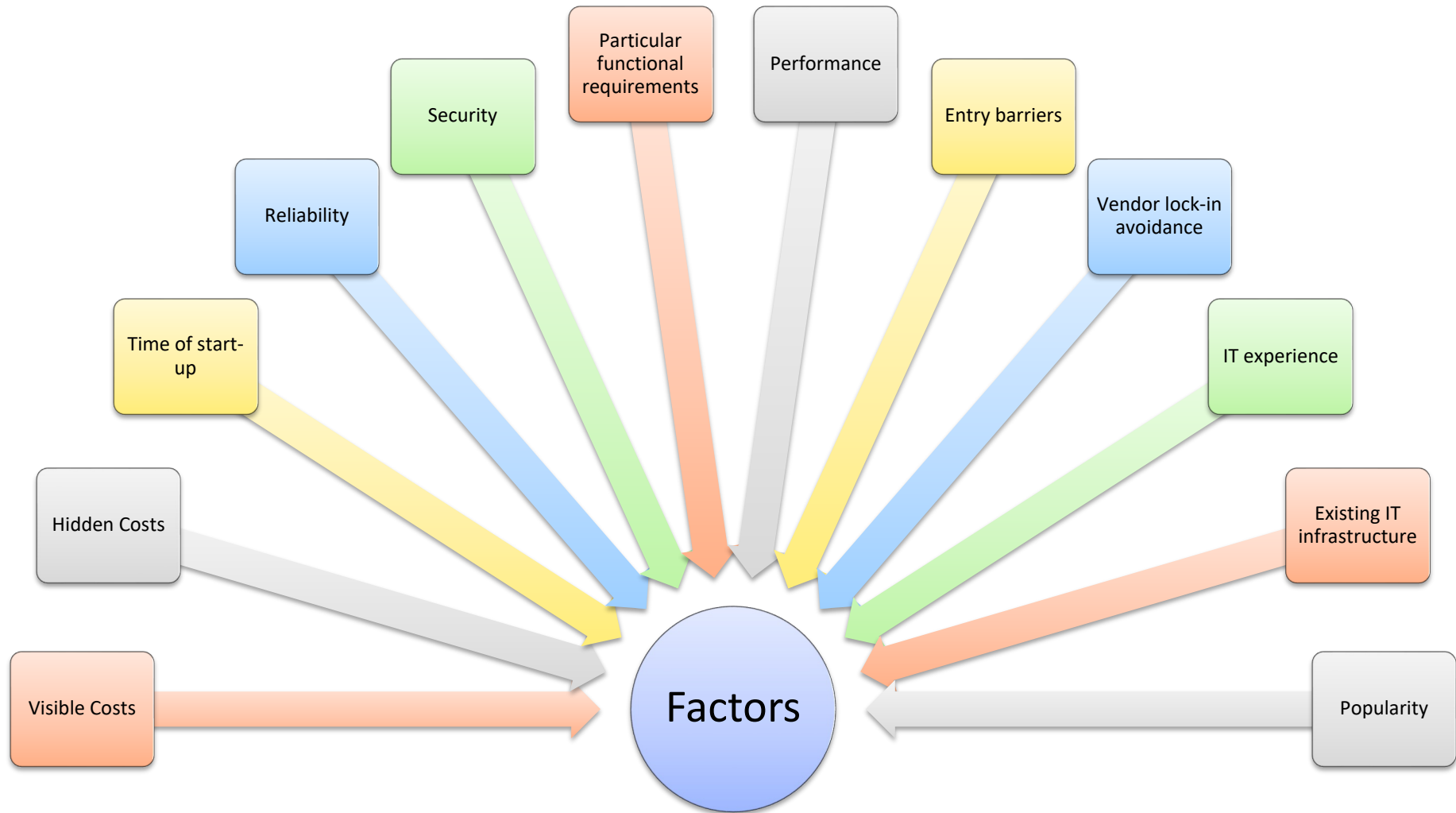
Web-trading software



Outcome dimensions

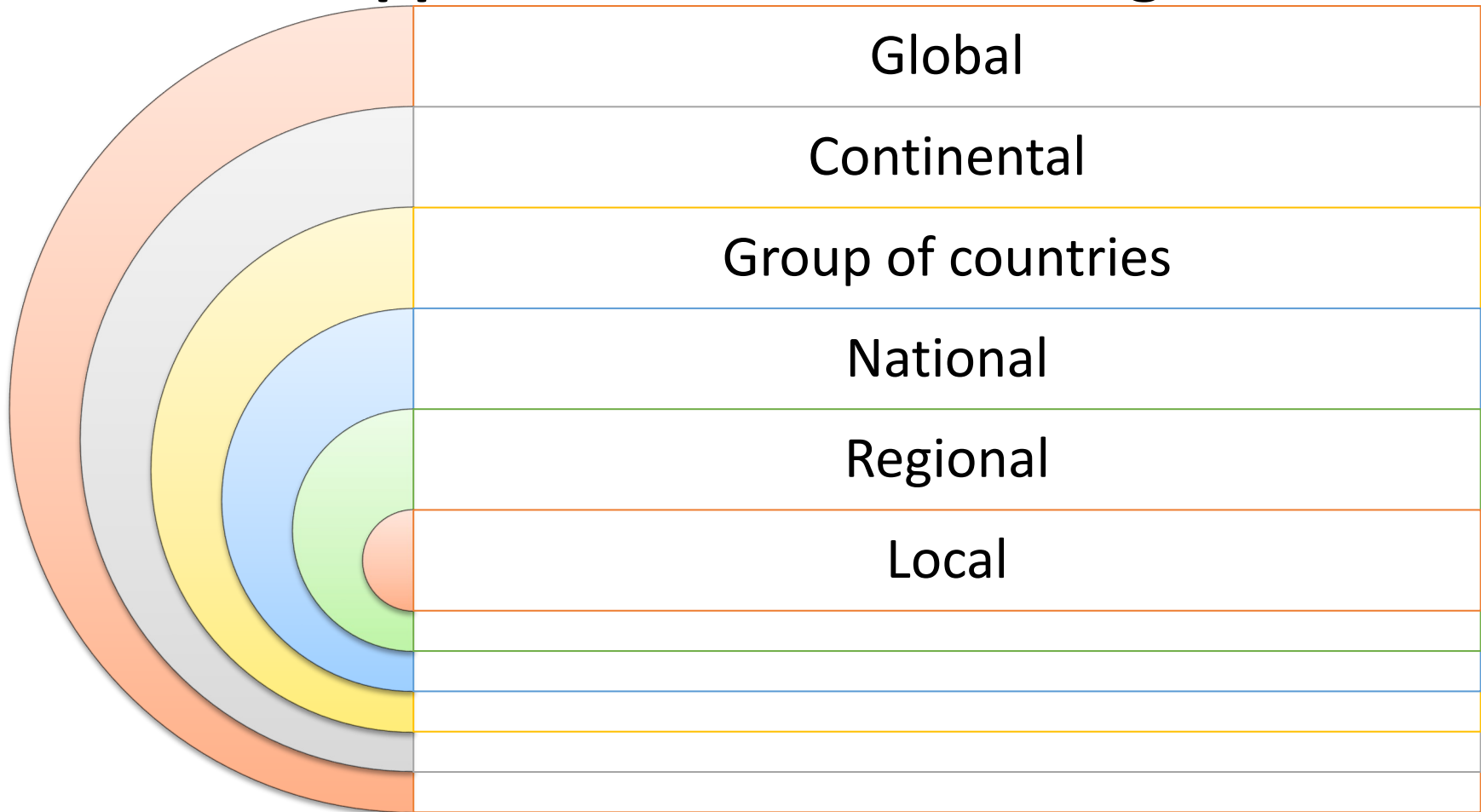


How to choose?

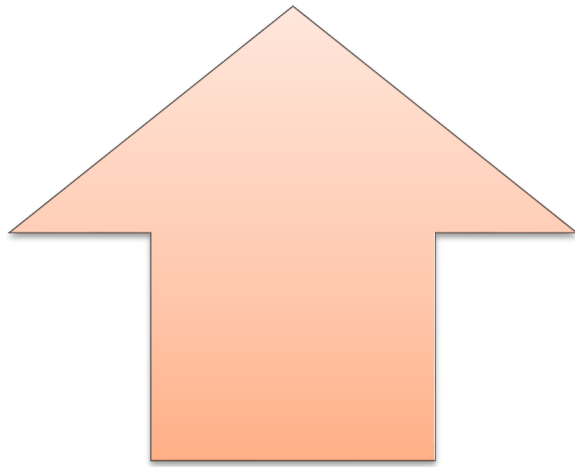


Operating Markets

Appetite comes with eating

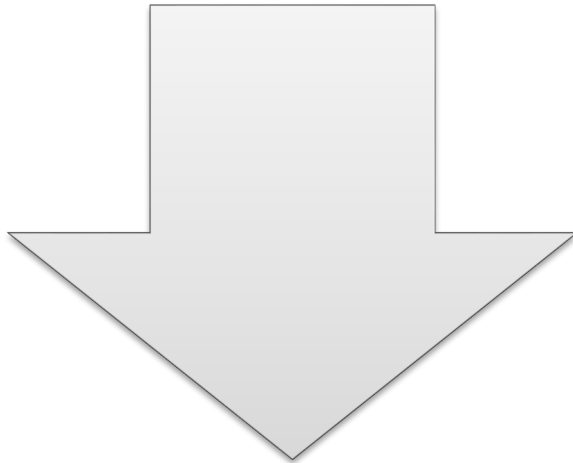


Growth factors



Stimulating

- **Economies of scale**
- Access to bigger customers
- Knowledge growth
- Proprietary technologies



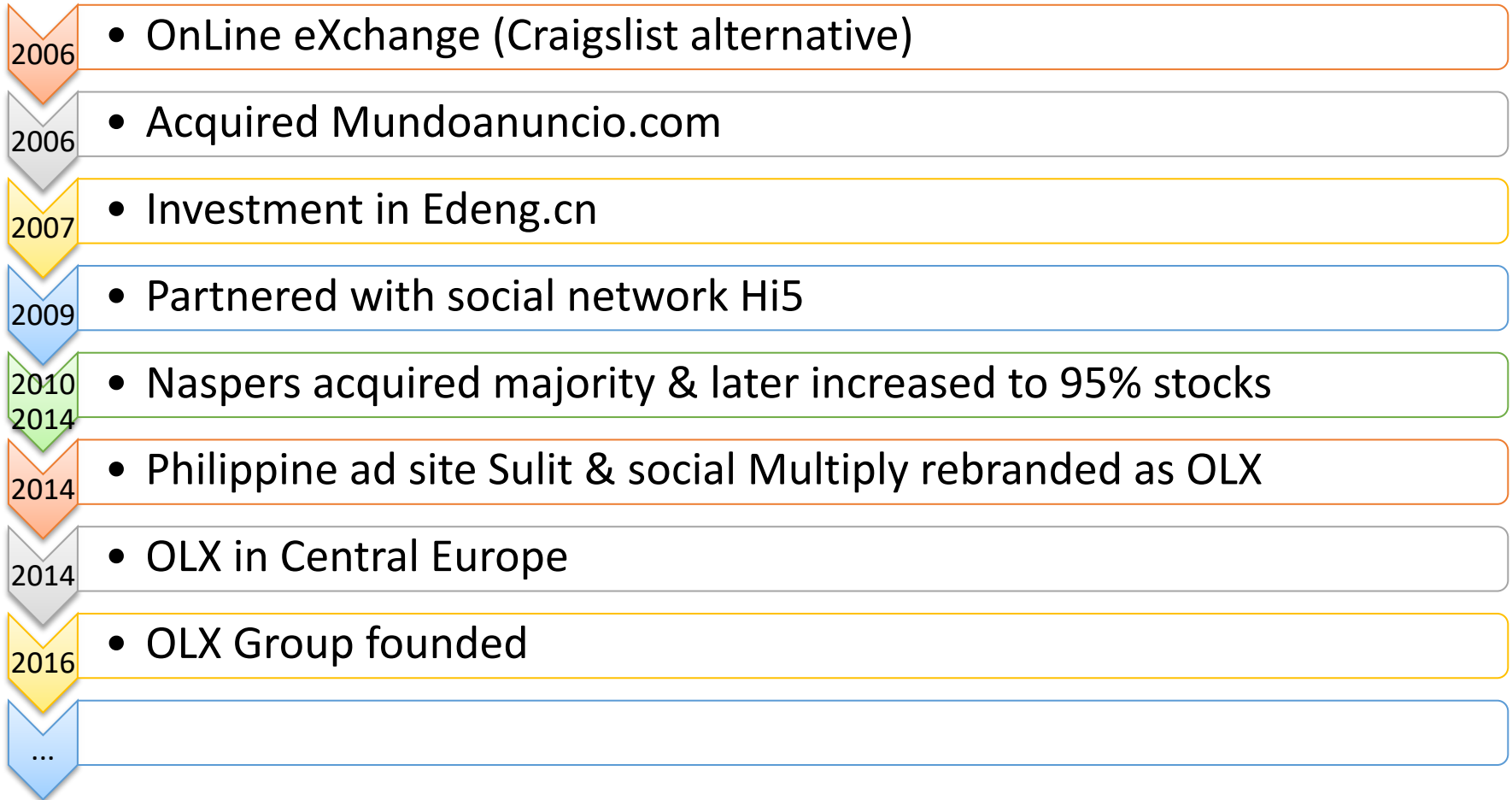
Unstimulating

- Cooperation with local partners (delivery, payments)
- Legal complexity
- Cultural complexity
- Communication channels
- Management issues
- Inertia (adaptation to changes)
- Self-competition (self-cannibalisation)

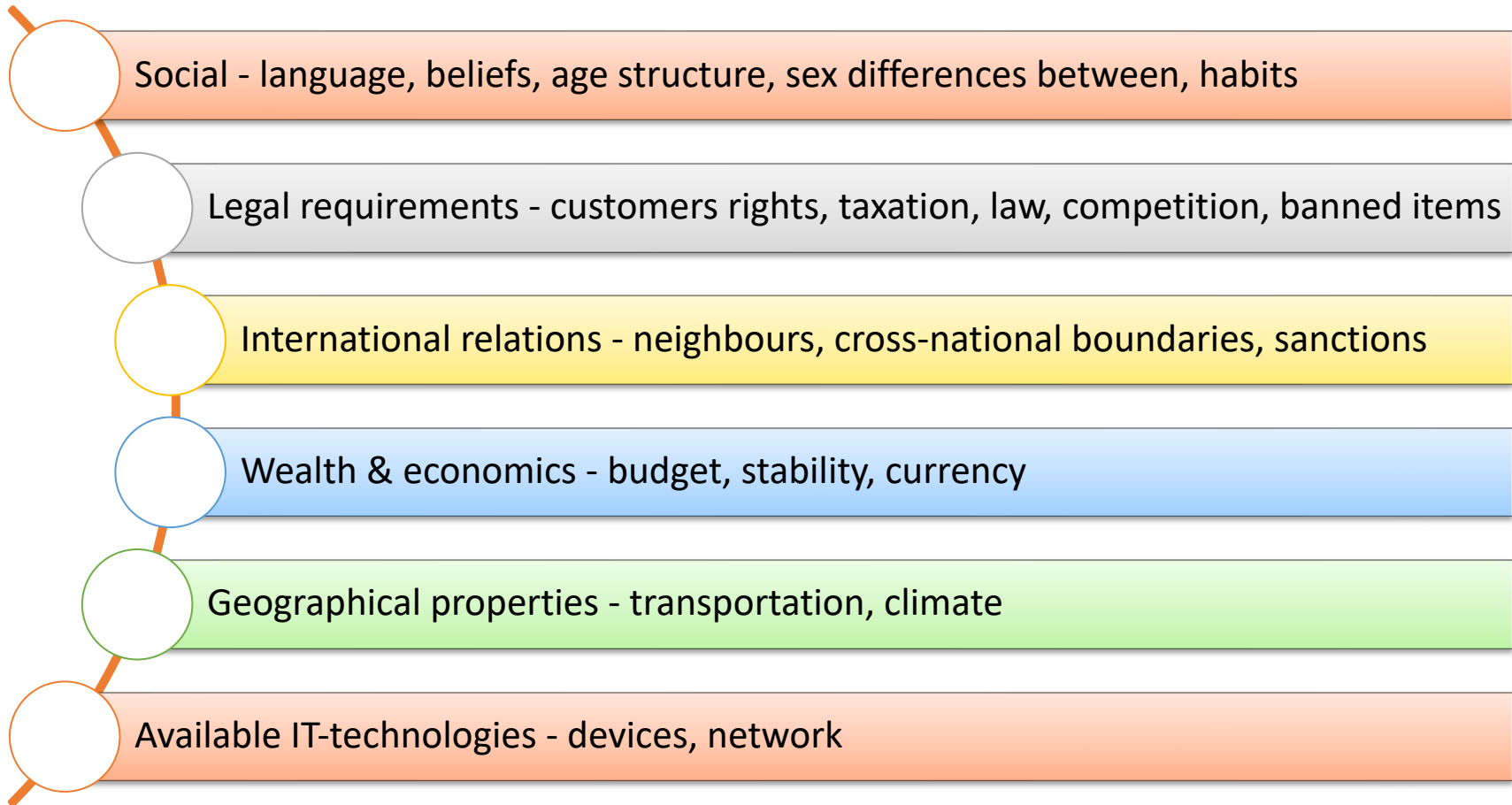
Growth example – OLX Brands

The logo for AutoTrader, featuring a stylized red and blue 'A' followed by the text 'AutoTrader' in black.The logo for AUTOVIT.RO, with 'AUTOVIT' in red and '.RO' in blue.The logo for imovirtual, with 'imovirtual' in black and a small blue square icon.The logo for obido, featuring a red circular icon with a white dot and the text 'obido' in red.The logo for OLX, with 'olx' in a bold, dark blue font.The logo for fixly, with the text 'fixly' in black on a yellow rectangular background.The logo for otodom, with 'otodom' in black and a small green square icon.The logo for OTOMOTO, with 'OTOMOTO' in white on a blue and red background.The logo for property24, with 'property24' in blue and red, and the tagline 'Find your perfect home' below it.The logo for STANDVIRTUAL, with the text 'STANDVIRTUAL' in blue and white inside a blue border.The logo for storia, with 'storia' in red and a small blue square icon.The logo for webuyanycar.com, with the text 'webuyanycar.com' in green and a row of colorful car icons below it.

OXL timeline

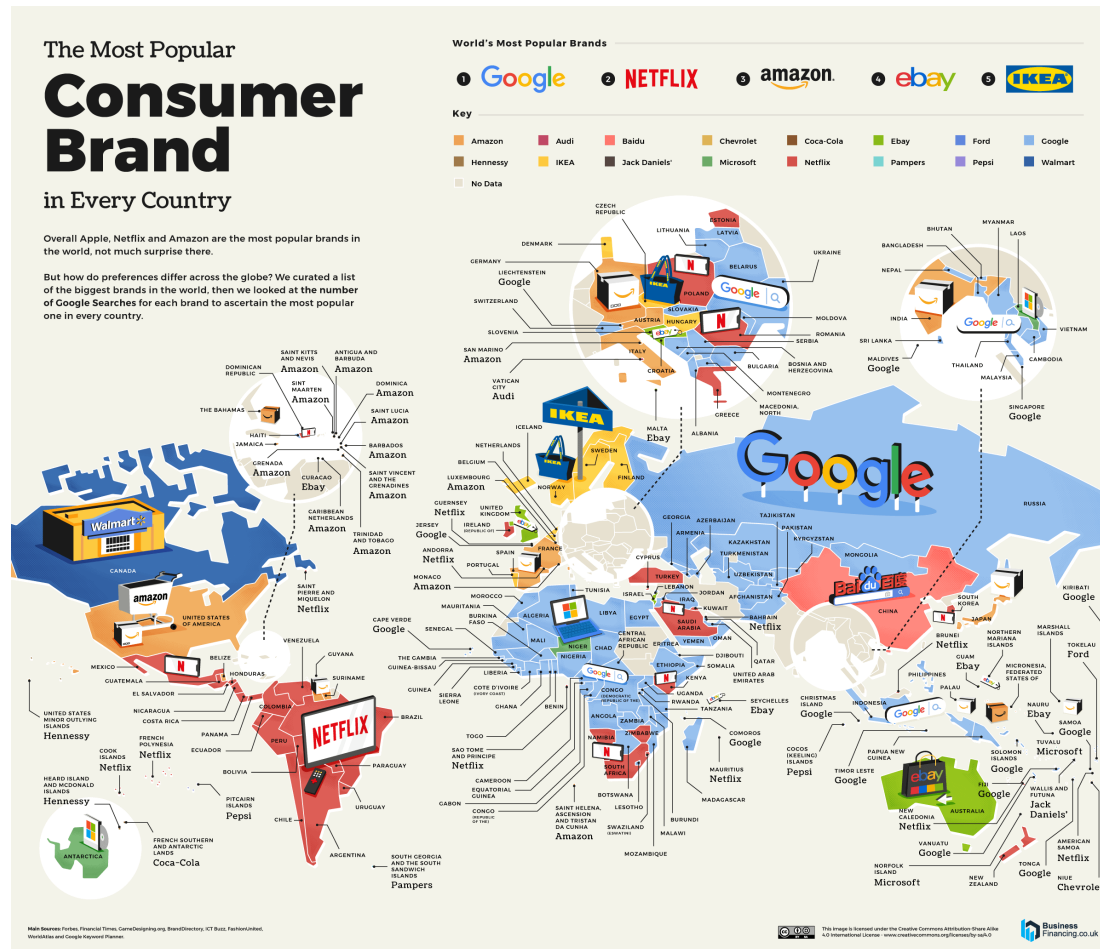


Market differences - TBC



Market differences

The most popular consumer brand (BusinessFinancing.co.uk)



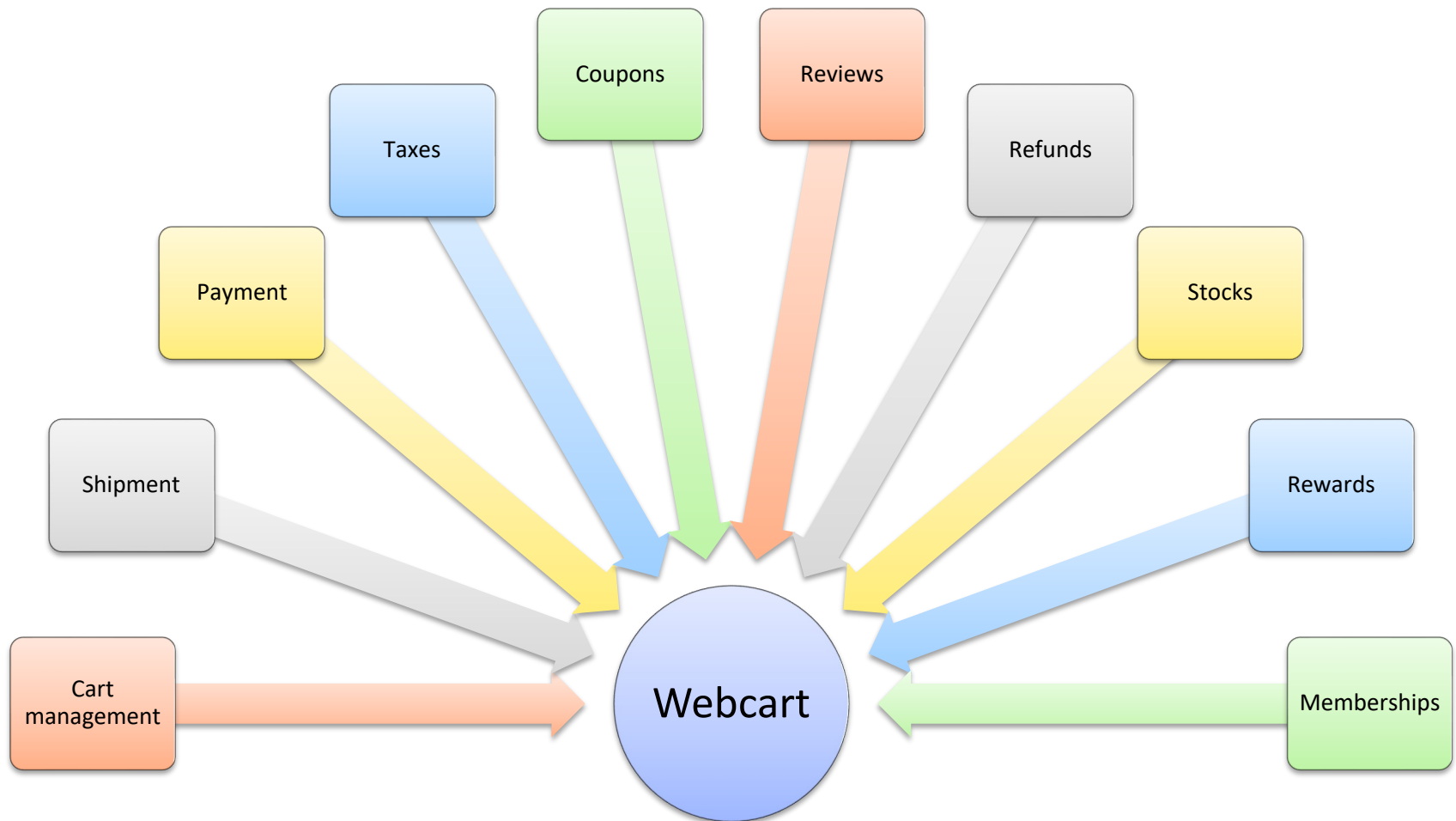
Webshops & trading platforms

E-SHOPS - FOUNDATION

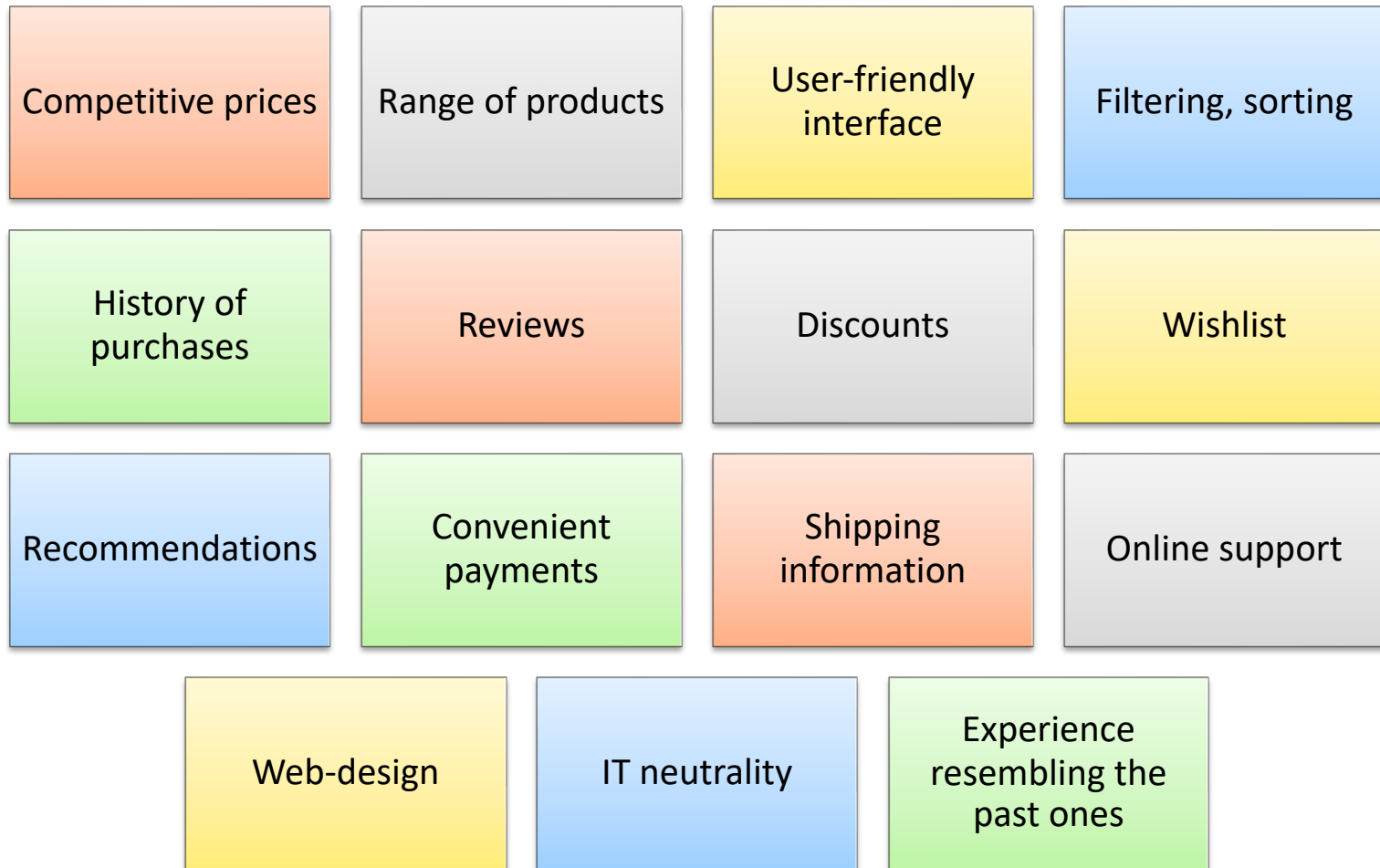
Web cart systems

- Web cart - E-commerce software allowing visitors to select items for purchase
- Contains 2 main parts:
 - Storefront - accessible by visitors browsing for items to be purchased
 - Administration – used by merchant to manage the store
- A separated system or integrated with the other – specialised – ones

Web cart systems – Internal perspective



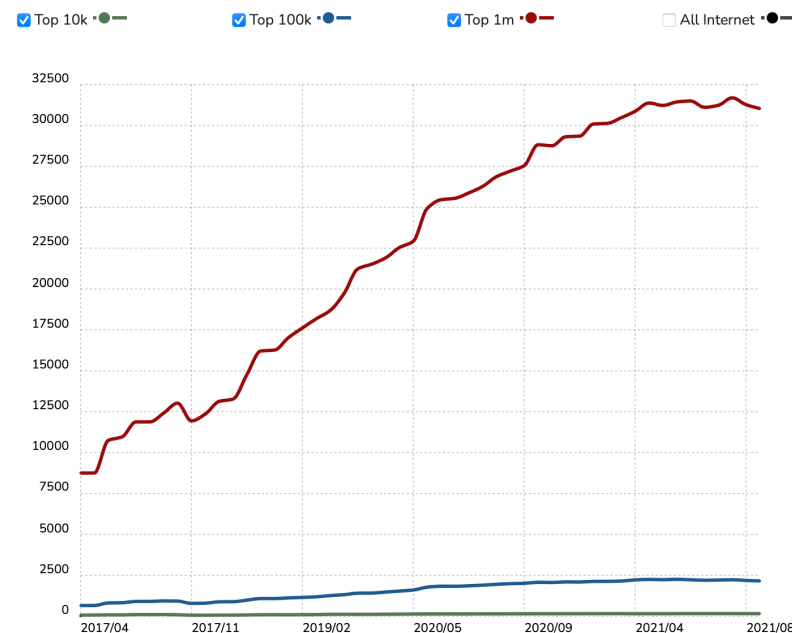
Web cart systems – Clients' perspective



Popular E-shops – WooCommerce

- E-commerce plugin for WordPress
- Open source (GPL v3)
- Very popular solution
- **Used during our Course**
- PHP version ≥ 7.4
- MySQL ≥ 5.6 or MariaDB ≥ 10.1
- HTTPS support

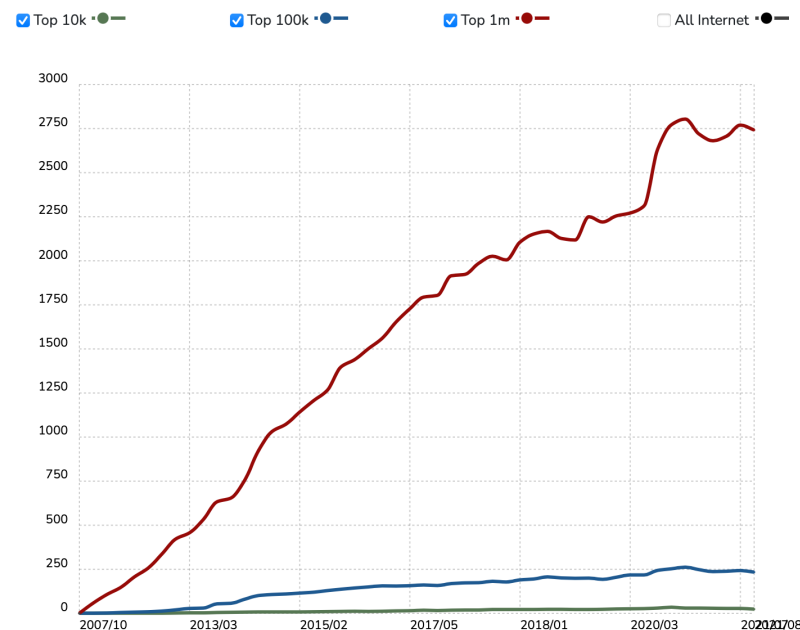
WooCommerce Checkout Usage Statistics



Popular E-shops - PrestaShop

- Build over Symfony PHP framework
- Open source (OSL)
- Apache Web Server ≥ 2.2
- PHP ≥ 7.1
- MySQL ≥ 5.6

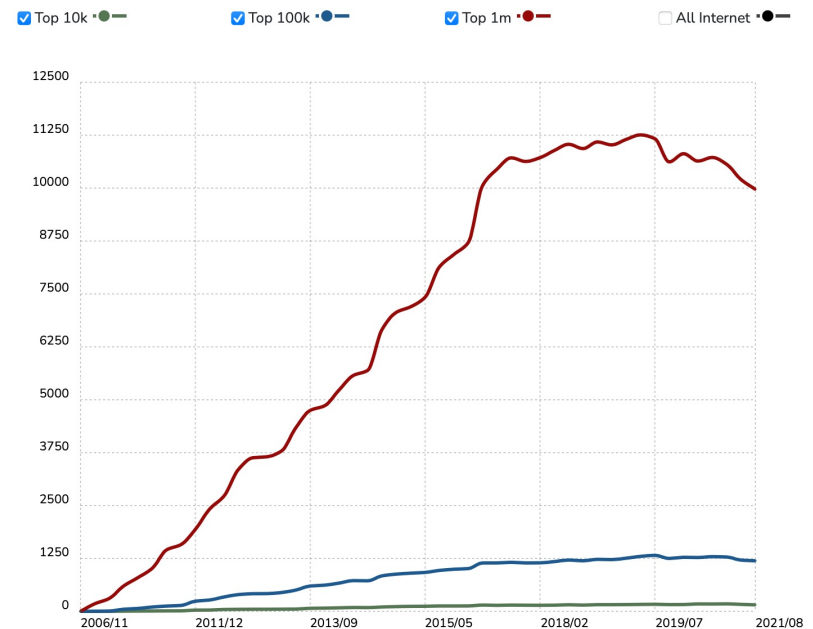
PrestaShop Usage Statistics



Popular E-shops - Magento

- Build over Laminas & Symfony frameworks
- Open source (OSL)
- Acquired by Adobe Inc
- Composer 2.x, Elasticsearch 7.10, RabbitMQ 3.8, Redis 6.0, Varnish 6.5, MariaDB 10.4, MySQL 8.0, PHP 8.1, Apache 2.4, nginx 1.8

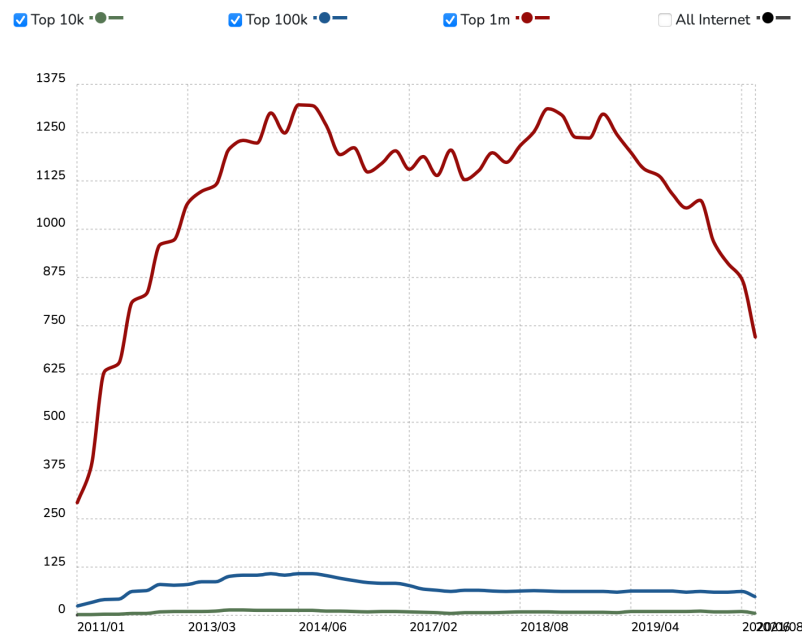
Magento Usage Statistics



Popular E-shops - osCommerce

- Open source (GPL)
- Popular in the past
- Recently stagnated
- Still used by many shops
- New team promised a new version soon
- **Till then – isn't recommended!**

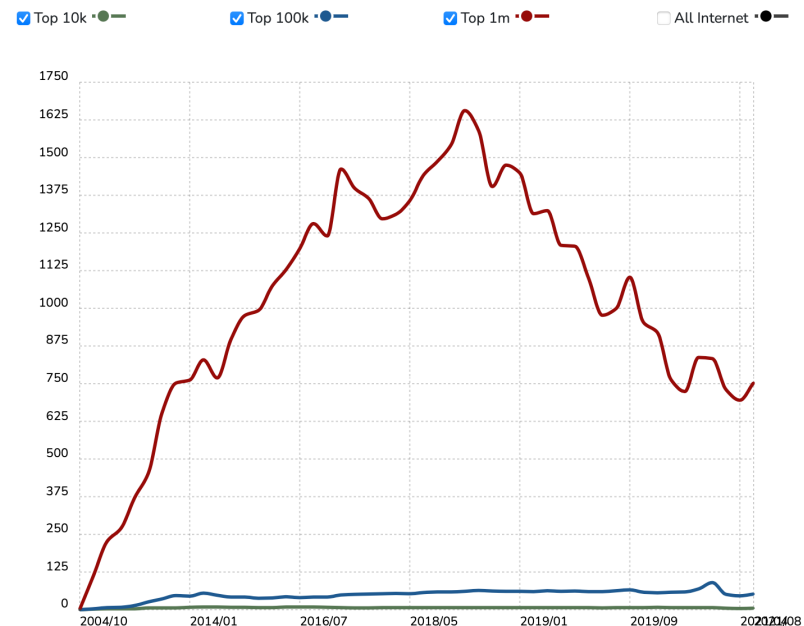
osCommerce Usage Statistics



Popular E-shops – Zen Cart

- osCommerce fork
- Open source (GPL)
- Becoming unpopular
- PHP <5.6, 8.0>
- MySQL <5.1, 8.0> or MariaDB <10.1,10.5>
- Apache Web Server 2.4 or 2.2
- Nginx – no version info

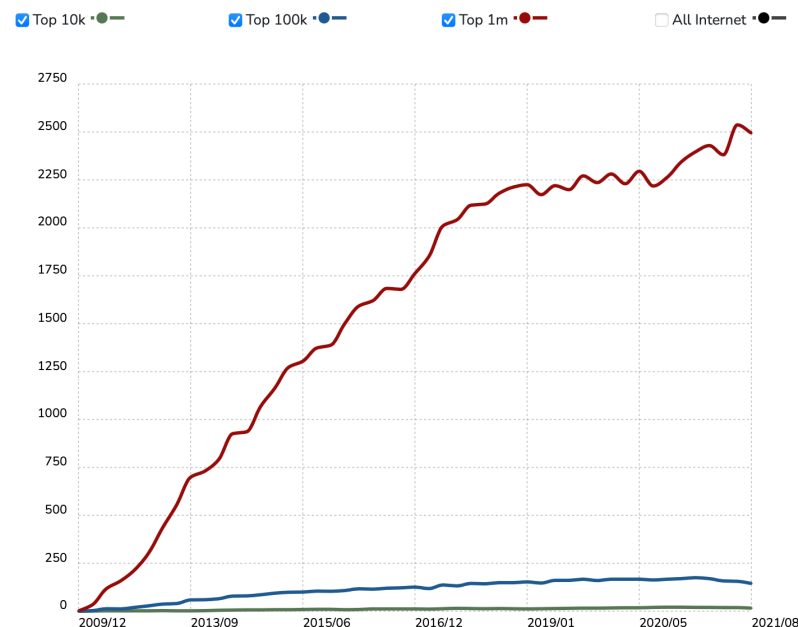
Zen Cart Usage Statistics



Popular E-shops - OpenCart

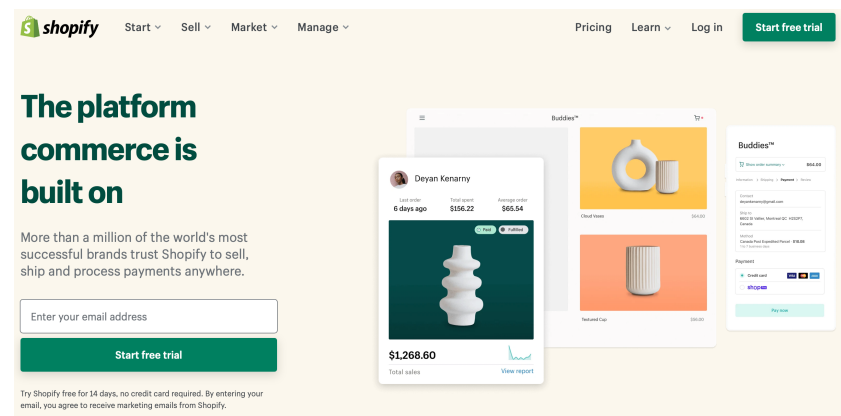
- Very popular solution
- Open source (GPL)
- Web Server (Apache suggested)
- PHP 5.4+
- Database module (MySQLi suggested)

OpenCart Usage Statistics



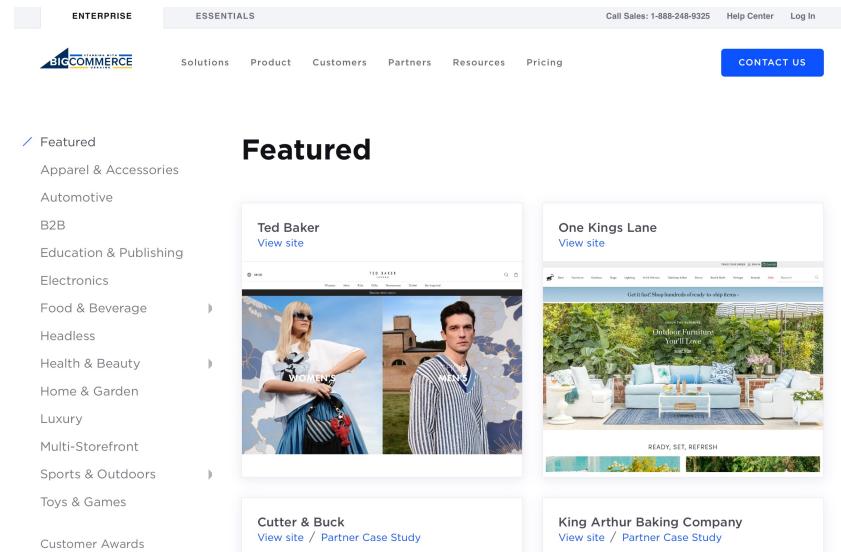
Hosted webshops - Shopify

- Canadian company
- Global SAAS
- Number 1 among global players on this market
- 3 days trial period
- Basic Shopify \$29/mth
- Shopify Lite \$9/mth



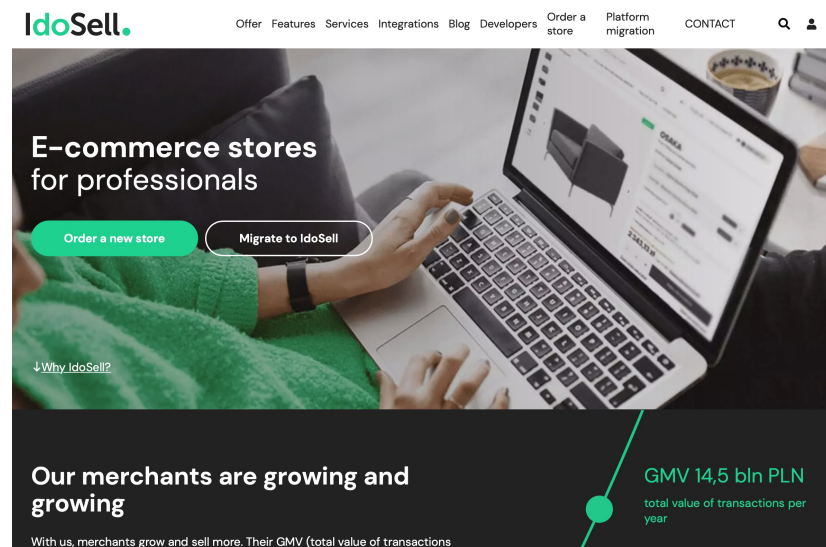
Hosted webshops - BigCommerce

- US company
- Global SAAS
- Number 2 among global players on this market
- 15 days trail period
- Prices from \$30/mth



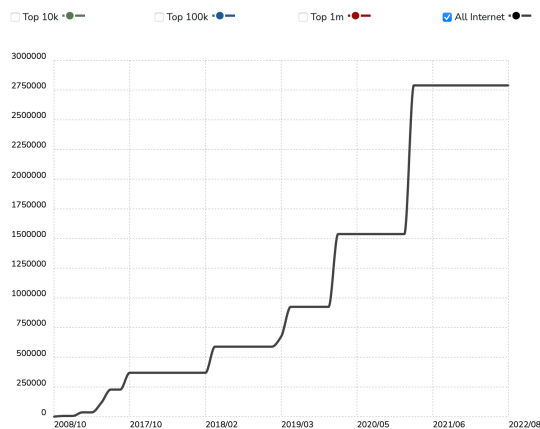
Hosted webshops – IdoSell (IAI)

- Polish company (based in Szczecin)
- Hosted webshop & auction platforms
- Highly customisable (pros&cons!)
- Different fees & support packages
- Integration with many other systems

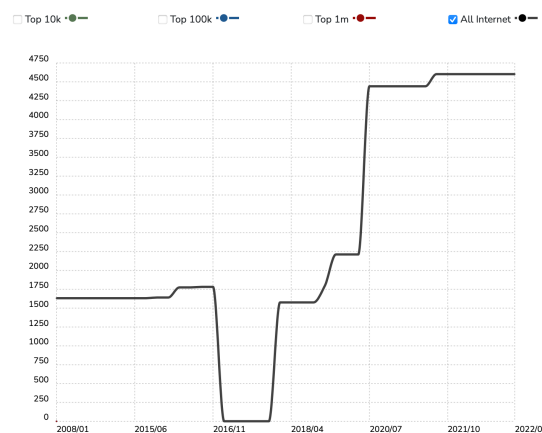


Hosted webshops - Comparison

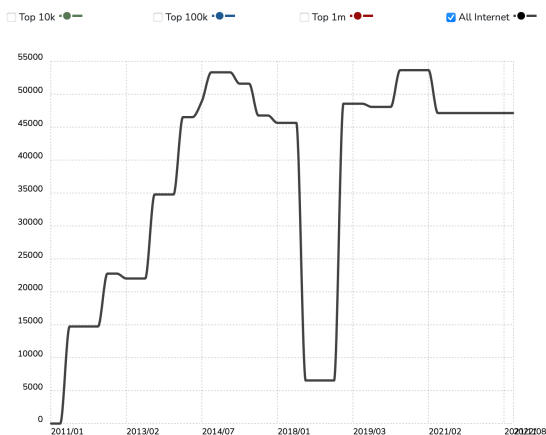
Shopify Usage Statistics



IdoSell Usage Statistics

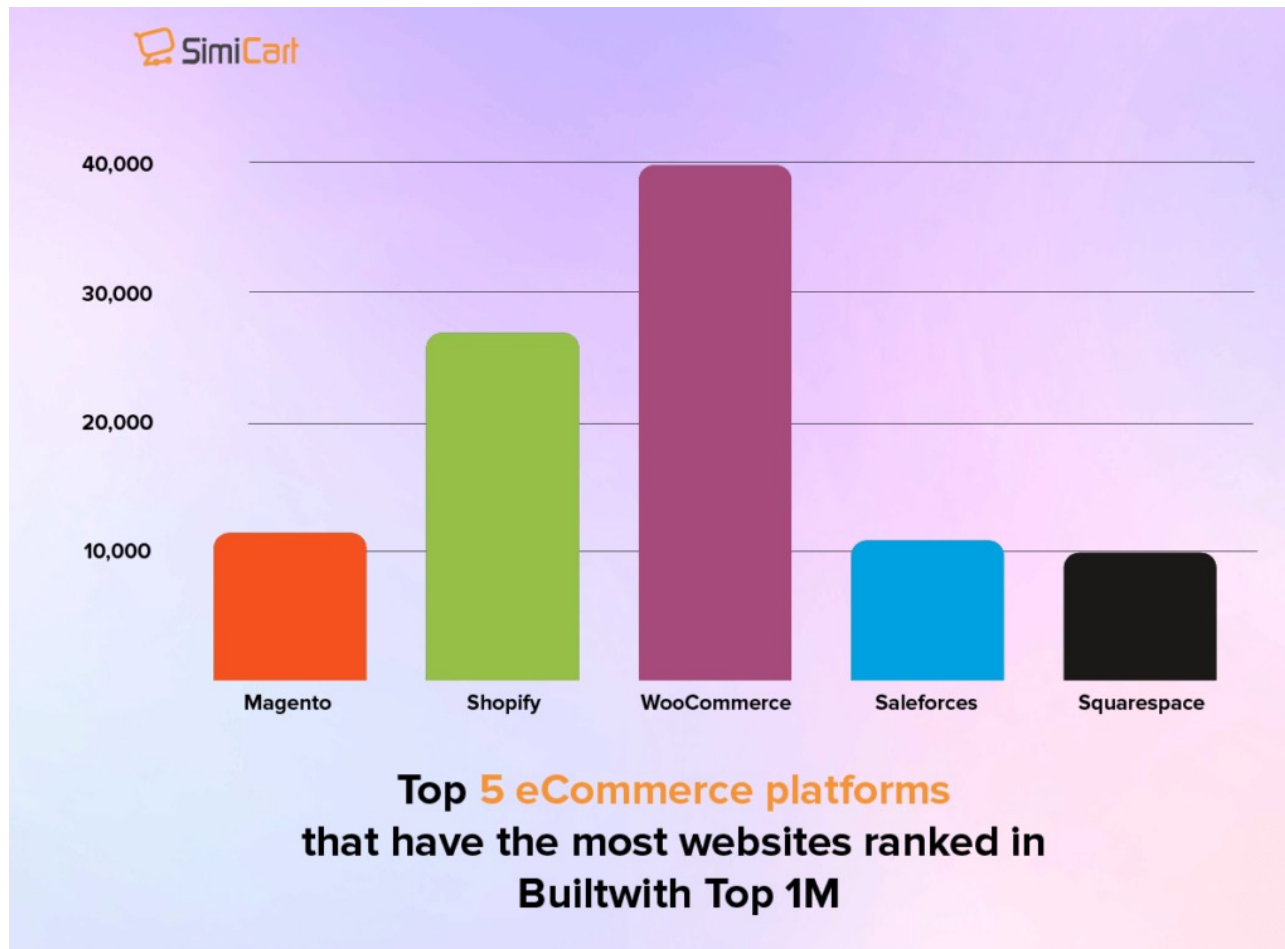


BigCommerce Usage Statistics

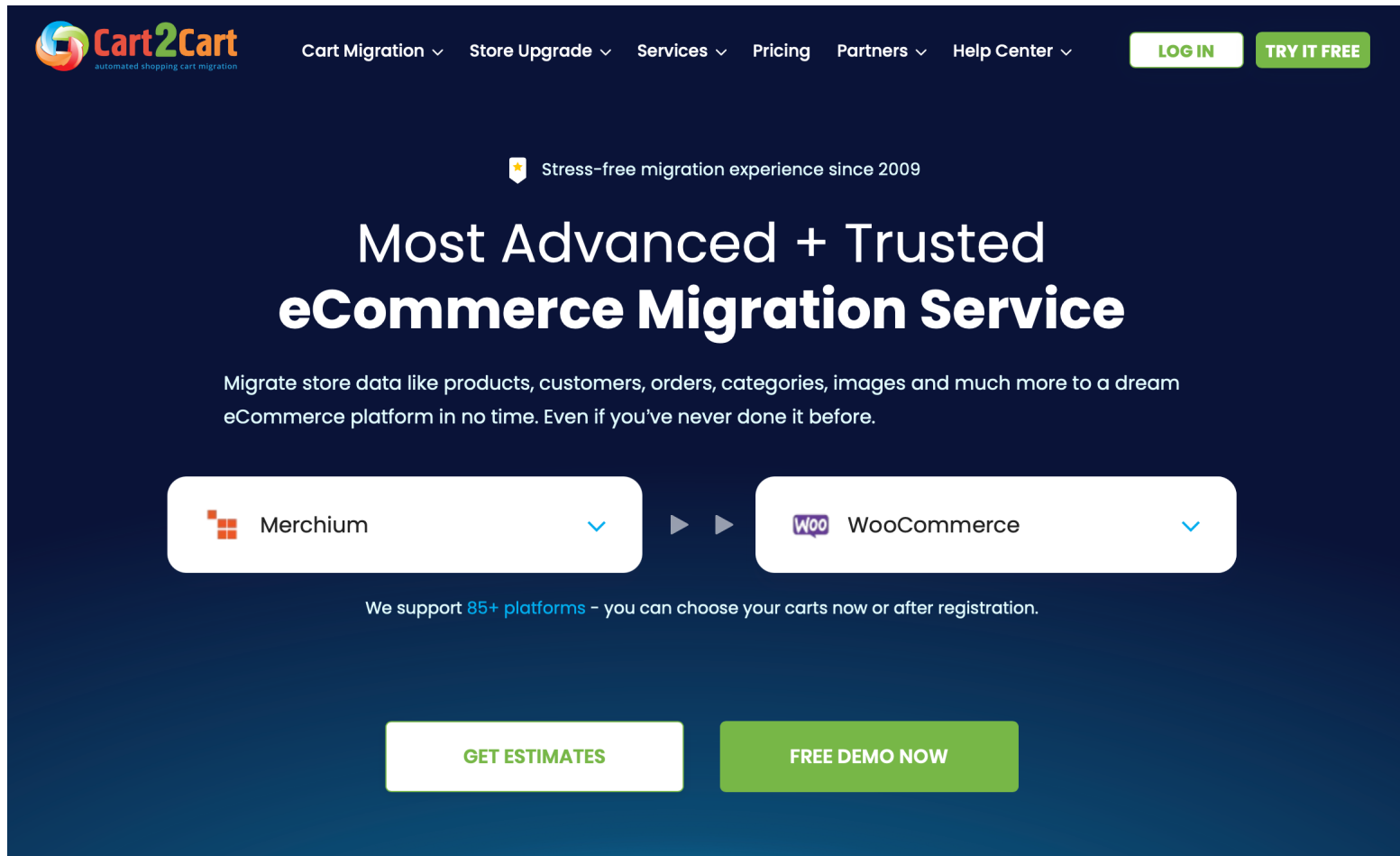


- Think about your market (location, language, local differences – law, payments, delivery)
- Single multinational shop <> multiple national shops
- Think about your resources
- Think big, but be realistic!

Popularity of EC webshops (2023)



Webshop lock-in – migration #1



The screenshot shows the Cart2Cart website homepage. The header features the Cart2Cart logo (a colorful circular icon with the text 'Cart2Cart' and 'automated shopping cart migration' below it) and a navigation menu with links: 'Cart Migration', 'Store Upgrade', 'Services', 'Pricing', 'Partners', and 'Help Center'. There are also 'LOG IN' and 'TRY IT FREE' buttons. The main content area has a dark blue background with the text 'Stress-free migration experience since 2009' and a large heading 'Most Advanced + Trusted eCommerce Migration Service'. Below this, a paragraph states: 'Migrate store data like products, customers, orders, categories, images and much more to a dream eCommerce platform in no time. Even if you've never done it before.' A visual representation of migration is shown with two white boxes: 'Merchium' on the left and 'WooCommerce' on the right, connected by two right-pointing arrows. Below the boxes, it says 'We support 85+ platforms - you can choose your carts now or after registration.' At the bottom, there are two green buttons: 'GET ESTIMATES' and 'FREE DEMO NOW'.

Cart2Cart
automated shopping cart migration

Cart Migration ▾ Store Upgrade ▾ Services ▾ Pricing Partners ▾ Help Center ▾

LOG IN TRY IT FREE

★ Stress-free migration experience since 2009

Most Advanced + Trusted eCommerce Migration Service

Migrate store data like products, customers, orders, categories, images and much more to a dream eCommerce platform in no time. Even if you've never done it before.

Merchium ▾ ► ► ▾ WooCommerce

We support 85+ platforms - you can choose your carts now or after registration.

GET ESTIMATES FREE DEMO NOW

Webshops & trading platforms

Webshop migration #2

Carts supported by Cart2Cart

3DCart	ePages	Neto	Squirrelcart
Aabaco	Etsy	Network Solutions	Storeden
AbleCommerce	Gambio	nopCommerce	Summer Cart
AceShop	GoDaddy	OpenCart	SunShop
Actinic	HHG multistore	osCMax	Thirty Bees
AmeriCommerce	HikaShop	osCommerce	TomatoCart
Arastta	Interspire	OXID eShop	Ubercart
AspDotNetStorefront	Jigoshop	Palundu	VirtueMart
Big Cartel	JooCart	Pinnacle Cart	Visualsoft
BigCommerce	JoomShopping	Premmerce	Volusion
Cart66	LemonStand	PrestaShop	Weebly
ChannelAdvisor	Lightspeed POS	Shift4Shop	WIX
CoreCommerce	LiteCart	Shop-Script	WiziShop
CS-Cart	Loaded 7	Shopify	WooCommerce
CSV File	Loaded Commerce	Shopify Plus	WordPress
CubeCart	Magento	Shopp	WordPress eStore Plugin
Custom Cart	Merchium	ShopSite	WP e-Commerce
DaWanda	MijoShop	ShopTab	X-Cart
digiSHOP	Miva Merchant	Shopware	xt:Commerce
DrupalCommerce	Miva Merchant 9	Shopware Cloud	xt:Commerce NEXT
Easy Digital Downloads	MiwoShop	Spark Pay	Yahoo Store
Ecwid	modified eCommerce	Square	Zen Cart
ekmPowershop	Mystore.no	Squarespace	Zoey

Webshop migration #3

Cart2Cart – migration from Shopify to WooCommerce

What data can be migrated from Shopify to WooCommerce	
PRODUCTS	✓ Name, SKU, Full Description, Manufacturer ⓘ, Tax Class.
PRODUCT CATEGORIES	✓ Price.
MANUFACTURERS	✓ URL ⓘ, Meta Title ⓘ, Meta Description ⓘ.
CUSTOMERS	✓ Weight.
ORDERS	✓ Product Tags.
COUPONS	✓ Variants (SKU, Weight, Attributes, Quantity, Price, Special Price, Additional image) ⓘ.
REVIEWS	✓ Additional Images.
BLOGS	✓ Quantity, Manage Stock.
BLOG POSTS	
MULTIPLE LANGUAGES	
CMS PAGES	

TRADING & OTHER PLATFORMS

Fees #1



Commission Fees: Charges for executing buy or sell orders. These can be a flat fee per trade or a percentage of the trade value.

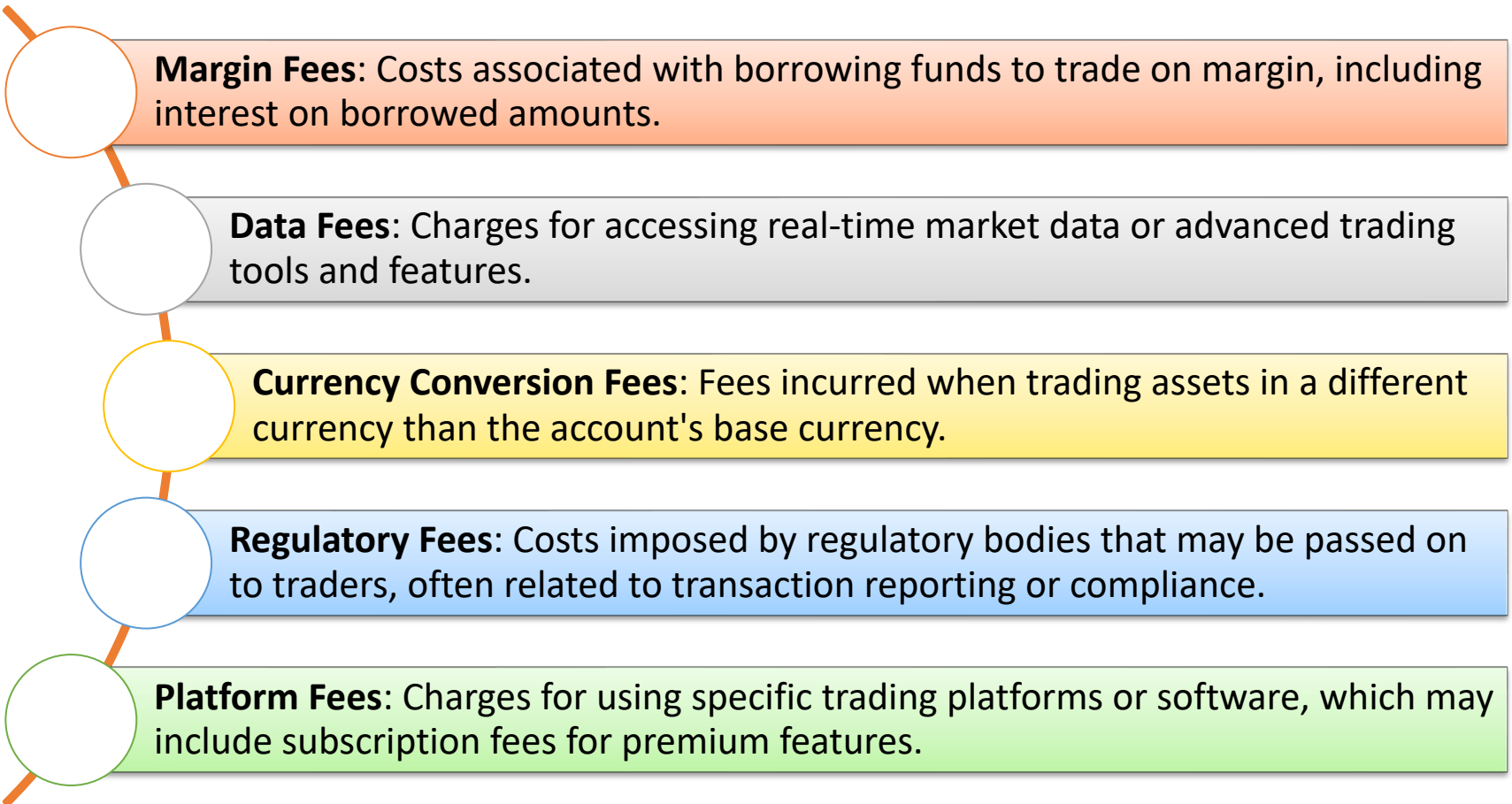
Account Maintenance Fees: Monthly or annual fees charged for maintaining an account, regardless of trading activity.

Inactivity Fees: Fees charged if there is no trading activity in the account for a specified period.

Withdrawal Fees: Charges for transferring funds from the trading platform to a bank account or another financial institution.

Deposit Fees: Some platforms may charge fees for depositing funds, especially if using certain payment methods.

Fees #2



Margin Fees: Costs associated with borrowing funds to trade on margin, including interest on borrowed amounts.

Data Fees: Charges for accessing real-time market data or advanced trading tools and features.

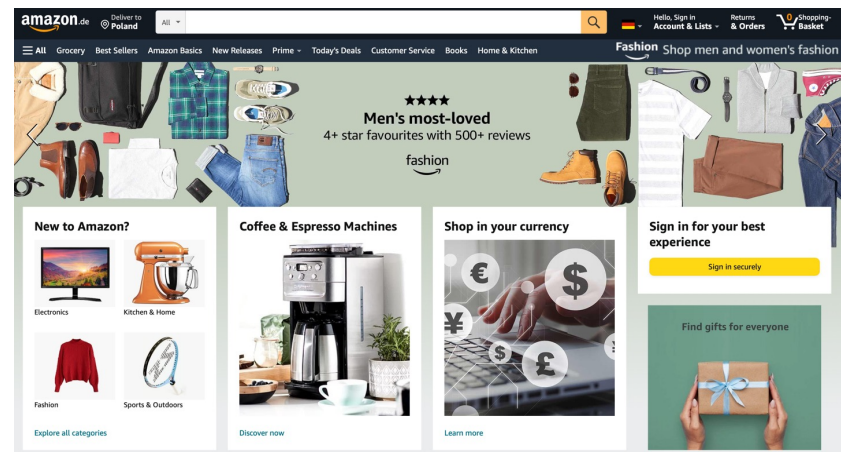
Currency Conversion Fees: Fees incurred when trading assets in a different currency than the account's base currency.

Regulatory Fees: Costs imposed by regulatory bodies that may be passed on to traders, often related to transaction reporting or compliance.

Platform Fees: Charges for using specific trading platforms or software, which may include subscription fees for premium features.

Trading platforms - Amazon

- A global trading platform (US company)
- Many local (cross-boundary) centres
- Actively trading, but also acting as an intermediary



Amazon - Pricing

See announcements and presentations from our annual seller conference: [Amazon Accelerate 2022](#)

English Log in

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Sign up

Pricing

Let's talk numbers

The cost to sell on Amazon depends on your selling plan, product category, fulfillment strategy, and other variables. The options are flexible, so you can find the combo that works best for you and your goals.

 Analyze costs with different fulfillment methods using our revenue calculator.

Try it out 



Selling plan

The Individual plan costs \$0.99 per unit sold, and the Professional plan costs \$39.99 per month or better yet, none.

Referral fees

Amazon charges a referral fee for each item sold. The amount depends on the product category. Most referral fees are

Fulfillment fees

The cost to ship your orders depends on whether you fulfill your own orders or use Fulfillment by Amazon (FBA).

Other costs

Some sellers may incur additional fees (such as long-term storage fees) or pay for optional programs like

Amazon – Pricing

amazon

Start

Grow

Learn

Pricing

Blog

Sign up

Subscription

Individual
\$0.99 / item sold

Professional
\$39.99 / month

Tools and services included

Access Seller University trainings and Help pages	✓	✓
Get help from Seller Support	✓	✓
List products one at a time	✓	✓
Manage inventory one product at a time	✓	✓
Manage seller-fulfilled orders	✓	✓
Set static prices	✓	✓
Use tools like the Revenue Calculator, Amazon Seller App , and Service Provider Network	✓	✓
Add multiple users to your account		✓
Apply to sell restricted products		✓

Amazon – Pricing

Product category	Referral fee percentage	Referral fee minimum amount
Amazon Device Accessories	45%	\$0.30
Appliances - Compact	· 15% for the portion of the total sales price up to \$300.00, and · 8% for any portion of the total sales price greater than \$300.00	\$0.30
Appliances - Full-size	8%	\$0.30
Automotive and Powersports	12%	\$0.30
Base Equipment Power Tools	12%	\$0.30
Baby Products	· 8% for products with a total sales price of \$10.00 or less, and · 15% for products with a total sales price greater than \$10.00	\$0.30
Backpacks, Handbags, and Luggage	15%	\$0.30
Beauty, Health, and Personal Care	· 8% for products with a total sales price of \$10.00 or less, and · 15% for items with a total sales price greater than \$10.00	\$0.30

Amazon – Pricing

Business, Industrial, and Scientific Supplies	12%	\$0.30
Clothing and Accessories	17%	\$0.30
Computers	8%	\$0.30
Consumer Electronics ²	8%	\$0.30
Electronics Accessories ³	· 15% for the portion of the total sales price up to \$100.00, and · 8% for any portion of the total sales price greater than \$100.00	\$0.30
Eyewear	15%	\$0.30
Fine Art	· 20% for the portion of Sales Proceeds up to \$100 (with a minimum Referral Fee of \$1.00); · 15% for any portion of Sales Proceeds greater than \$100 up to \$1,000; · 10% for any portion of Sales Proceeds greater than \$1,000 up to \$5,000; and · 5% for any portion of Sales Proceeds greater than \$5,000	--

Amazon – Pricing

Footwear	15%	\$0.30
Furniture	· 15% for the portion of the total sales price up to \$200.00, and · 10% for any portion of the total sales price greater than \$200.00	\$0.30
Gift Cards	20%	--
Grocery and Gourmet	· 8% for products with a total sales price of \$15.00 or less, and · 15% for products with a total sales price greater than \$15.00	--
Home and Kitchen	15%	\$0.30
Jewelry	· 20% for the portion of the total sales price up to \$250.00, and · 5% for any portion of the total sales price greater than \$250.00	\$0.30
Lawn and Garden	15%	\$0.30
Lawn Mowers and Snow Throwers	· 15% for products with a total sales price of up to \$500.00, and · 8% for products with a total sales price greater than \$500.00	\$0.30

Amazon – Pricing

Media - <u>Books</u> , DVD, Music, Software, Video	15% ⁴	--
Musical Instruments and AV Production	15%	\$0.30
Office Products	15%	\$0.30
Pet Supplies	15%, except 22% for veterinary diets	\$0.30
Sports and Outdoors	15%	\$0.30
Tires	10%	\$0.30
Tools and Home Improvement	15%	\$0.30
Toys and Games	15%	\$0.30
Video Games and Gaming Accessories	15%	--

Amazon – Pricing

Video Game Consoles	8%	--
Watches	· 16% for the portion of the total sales price up to \$1,500.00 · 3% for any portion of the total sales price greater than \$1,500.00	\$0.30
Everything Else ⁵	15%	\$0.30

Amazon – Pricing

Other selling fees

In some cases, you may pay additional fees for specific services, including the following:

Closing fees

—

Media items are charged a closing fee for each unit sold.

Rental book service fees

—

If you offer textbook rentals, expect to pay a rental book service fee of \$5.00 for each rental.

High-volume listing fees

—

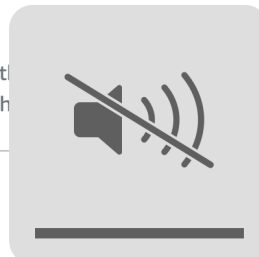
If you have a high volume of active, non-media listings that are in a category with a high volume of active, non-media listings, expect to pay a monthly fee of \$0.005 per eligible listing to cover cataloging costs. We waive the fee for listings in categories with a low volume of active, non-media listings.

Refund administration fee

—

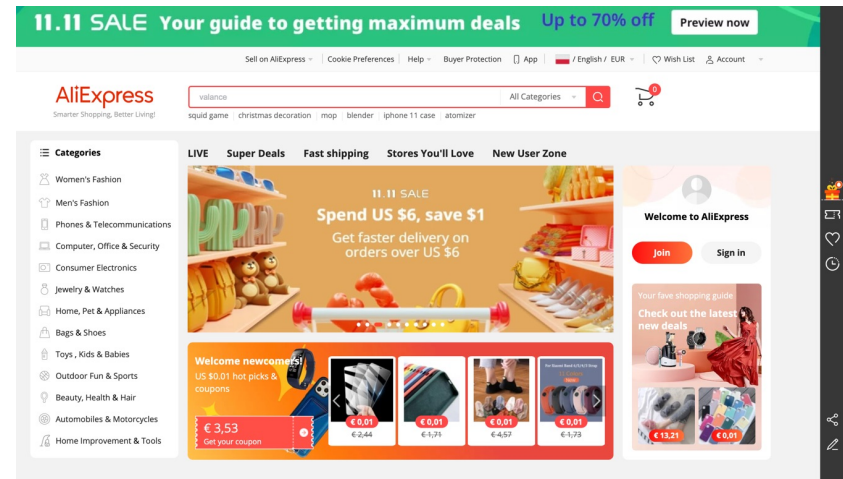
If you refund a customer for an order for which you have already received payment, Amazon will refund you the amount of the referral fee you paid for the item(s), minus the applicable refund administration fee, which is \$5.00 or 20% of the applicable referral fee, whichever is less.

For example, if you refund a customer the \$10.00 total sales price of an item in a category with a 15% referral fee, your refund administration fee will be \$0.30 (\$10.00 x 15% referral fee = \$1.50, \$1.50 x 20% refund administration fee = \$0.30).



Trading platforms - AliExpress

- A global trading platform (Chinese company)
- Oriented onto Chinese merchant, opening to the other countries
- Meta-platform (AliPay, freight integration)



AliExpress - Pricing

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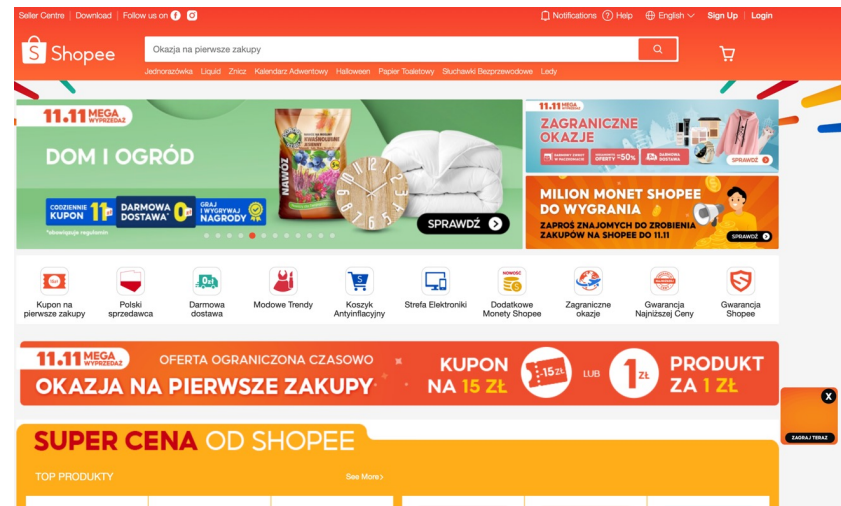
Commission and Categories

Click here to get detail information about commissions of all categories.

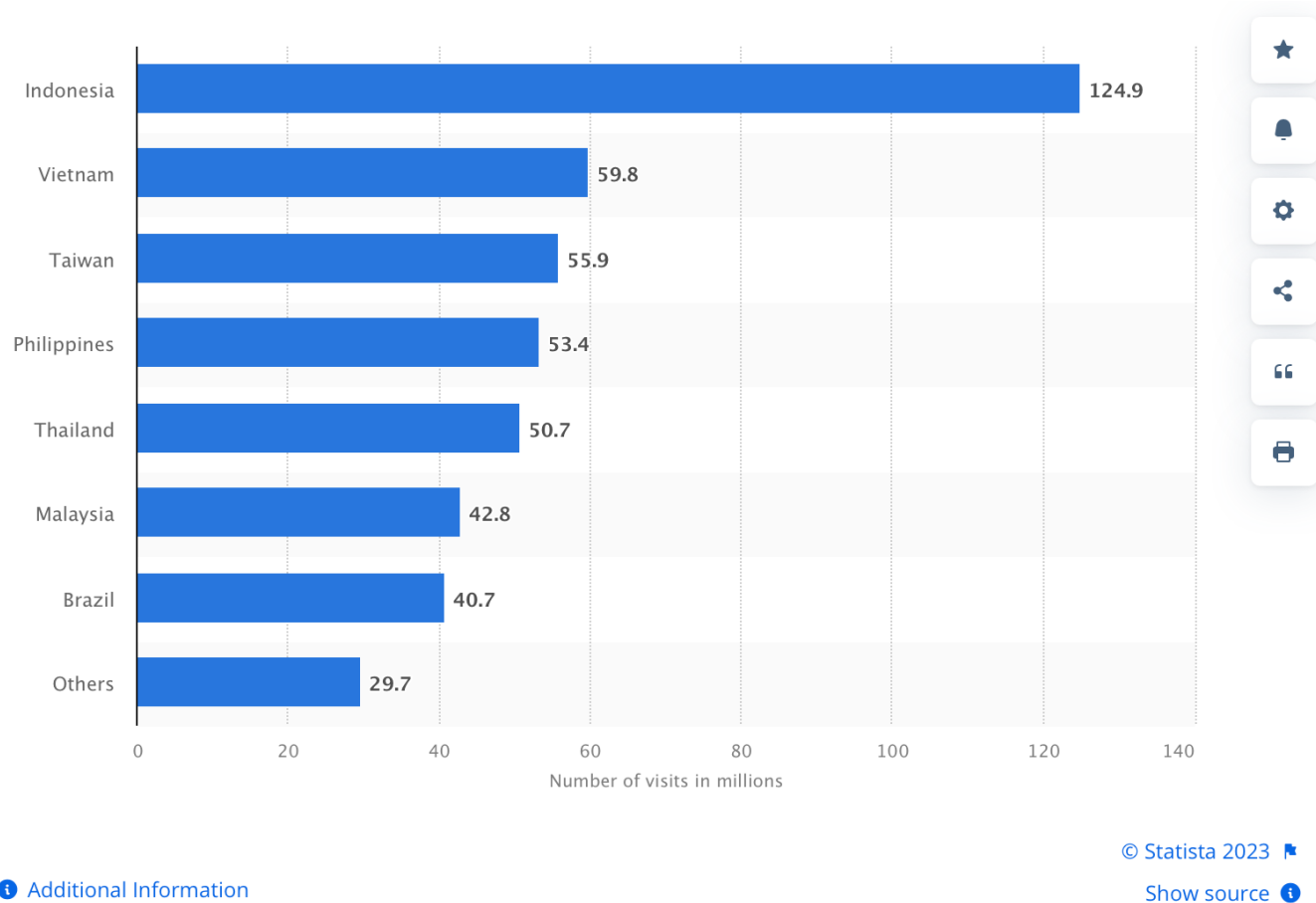
	Categories	Commission Rate
	Shoes & Sneakers	5-8%
	Security	5%
	Consumer electronics	5-8%
	Apparel & Accessories	8%
	Home appliances	5%
	Furniture	5%

Trading platforms - Shopee

- Singaporean company
- Operating in different countries
- Focus on south-east Asia + other selected countries (Latin America, Poland)



Shopee – Visitors per country



Shopee – Transaction fee

2.12% x
Transaction fee applied



Note: Includes Shopee coins, Shopee vouchers, Shopee discounts, Shopee rebates, seller discounts and rebates, credit card promotion discount

Shopee – Marketplace fee

No. of completed orders (Before 24 October 2023)	No. of days selling on Shopee (24 October 2023 onwards)	Product Category	Marketplace Commission Fee Rate (including 6% SST)
≥100	>120	Electronics	2.65% - 4.24%
		Fashion	4.24%
		FMCG	0.00% - 4.24%
		Lifestyle	3.71% - 4.24%
<100	≤120	All	0.00%

Trading platforms - Allegro

- The most popular trading platform in Poland
- Started as an auction platform
- Multinational sellers and clients, with focus on Poland
- Own network of parcel machines



Allegro – Pricing #1

Telephones and accessories		Commission rate
Telephones and accessories		6%
Telephones and accessories > Smartphones and mobile phones		4.5%
Telephones and accessories > GSM Accessories		12% for products with a total sale price up to 50 PLN
		6 PLN + 6% of the amount that exceeds 50 PLN
Photography		Commission rate
Photography		6.5%
Photography > Photographic accessories		10% for products with a total sale price up to 50 PLN
		6 PLN + 6% of the amount that exceeds 50 PLN
Photography > Digital cameras, Analogue cameras, Instant cameras, Lenses		4%
Electronics		Commission rate
Computers		9.5%
Computers > Laptops, Desktop computers		2% for products with a total sale price up to 1000 PLN
Computers > Laptops, Desktop computers		20 PLN + 1.5% of the amount that exceeds 1000 PLN
Computers > Laptops, Desktop computers		35 PLN + 1% of the amount that exceeds 2000 PLN
Consumer electronics and home appliances		9%
Consumer electronics and home appliances > Espresso machines, Epilators, Food preparation appliances, Professional steam stations, Projectors		2,5%
Stage, studio and DJ equipment		8%

Allegro – Pricing #2

Home and garden	Commission rate
Home and garden	10%
Home and garden > Tools, Swimming pools, Lawnmowers, Playgrounds, Grills and other	7% for products with a total sale price up to 100 PLN 7 PLN + 6% of the amount that exceeds 100 PLN
Home and garden > Air conditioners	6%
Beauty	Commission rate
Beauty	11%
Beauty > Perfumes and eau de toilettes	9% for products with a total sale price up to 100 PLN 9 PLN + 7% of the amount that exceeds 100 PLN Not less than 1 PLN
Health	Commission rate
Health	10%
Health > Erotica	16%
Health > Irrigators, Toothbrushes	6%
Health > Humidifiers, air purifiers	4%

Allegro – Pricing #3

Sports and Travel	Commission rate
Sports and Travel	10%
Sports and Travel > Sports electronics	6%
Sports and Travel > Bicycles, Electric scooters, Electric skateboards	7% not more than 100 PLN
Culture and Entertainment	Commission rate
Culture and Entertainment	9%
Music	10%
Movies	10%
Games	10%
Instruments	8% not more than 50 PLN
Automotive	Commission rate
Automotive	8% not more than 80 PLN
Automotive > Car electronics	9% for products with a total sale price up to 150 PLN
	13.50 PLN + 6% of the amount that exceeds 100 PLN
	Not more than 80 PLN
Automotive > Complete engines, Complete gearboxes, Axles, Differentials	2% not more than 80 PLN

Allegro – Pricing #4

Kids		Commission rate
Kids		10%
Kids > Car safety seats	10% for products with a total sale price up to 300 PLN 30 PLN + 4% of the amount that exceeds 300 PLN	
Kids > Strollers	9% for products with a total sale price up to 800 PLN 72 PLN + 3% of the amount that exceeds 800 PLN	
Kids > Baby food		4%
Kids > Toys	13% for products with a total sale price up to 50 PLN 6.50 PLN + 8% of the amount that exceeds 50 PLN	
Kids > Building blocks		6%
Supermarket		Commission rate
Food		11%
Food > Coffee, Tea		6%
Housekeeping		10.5%
Products for animals		11%

Allegro – Pricing #5

Fashion		Commission rate
Clothes		12% for products with a total sale price up to 80 PLN
		9.60 PLN + 8% of the amount that exceeds 80 PLN
Jewellery		10%
Watches		10% for products with a total sale price up to 200 PLN
		20 PLN + 8% of the amount that exceeds 200 PLN
Footwear		12% for products with a total sale price up to 100 PLN
		12 PLN + 8% of the amount that exceeds 100 PLN
Sports shoes		12% for products with a total sale price up to 100 PLN
		12 PLN + 6% of the amount that exceeds 100 PLN
Collections and Art		Commission rate
Antiques and Art		10% not more than 80 PLN
Collectibles		9% not more than 80 PLN

A false perception of the costs



- Clients mainly see explicit costs
- They focus on short-time benefits
- Limits (time or number of items) increase pressure
- People do not turn back after a certain point

Additional costs added to prices #1 **(their legality varies across the globe)**

Shipping Fees

- Charges for delivering the product to the customer. This can vary based on the shipping method, distance, weight, and dimensions of the package.

Handling Fees

- Costs associated with packaging and preparing the item for shipment. This may include labour and materials used in the packing process.

Sales Tax

- A tax imposed by the government on the sale of goods and services. The rate can vary by location and may be added at checkout based on the customer's shipping address.

Import Duties and Tariffs

- Fees imposed on goods imported from other countries. These costs can significantly increase the price of international purchases.

Payment Processing Fees

- Charges incurred by the merchant for processing credit card or digital payments. These fees are typically a percentage of the transaction amount plus a fixed fee.

Return Shipping Costs

- If a customer returns an item, they may be responsible for the shipping costs associated with returning the product, unless the seller offers free returns.

Additional costs added to prices #2 **(their legality varies across the globe)**

Restocking Fees

- Some retailers charge a fee for restocking returned items, particularly if the item is opened or used.

Membership or Subscription Fees

- If the e-commerce platform requires a membership or subscription for certain benefits (like free shipping), this cost may be factored into the overall price.

Insurance Costs

- Optional insurance for high-value items during shipping can be added to the total cost.

Promotional Costs

- Discounts or promotional offers may be applied, but they can also lead to increased prices for other items to offset the cost of the promotion.

Packaging Costs

- Special packaging for fragile or high-end items may incur additional costs that are passed on to the customer.

Summary

- There are different ways to start web-based trading
- Select the proper solution analysing particular situation
- Make a business plan and select company offering you services necessary in the foreseeable future
- Avoid vendor lock-ins!

TILL NEXT LECTURE